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Illustration 2

On 31st March, 2018, the bank column of the cash book of Senthamarai Traders showed a debit balance of ` 40,200. On examining the cash book and the bank statement, it was found that:

(a) A cheque for ` 2,240 deposited on 29th March, 2018 was credited by the bank only on 4th April, 2018.

(b) A payment made through net banking for ` 180 has been entered twice in the cash book.

(c) A bill of exchange for ` 1,000 was discounted by Senthamarai Traders with its bank. This bill was dishonoured on 30th March, 2018 but no entry had been made in the books of Senthamarai Traders.

(d) Cheques amounting to ` 500 which were issued to trade payables and entered in the cash book before 31st March, 2018 were not presented for payment until that date.

(e) Cheque amounting to ` 2,000 had been recorded in the cash book as having been deposited into the bank on 30th March, 2018, but was entered in the bank statement on 3rd April, 2018.

(f) Transport subsidy amounting to ` 3,000 received from the Government of Tamilnadu directly by the bank, but not advised to the Senthamarai Traders.

(g) A sum of ` 1,500 was wrongly debited to Senthamarai Traders by the bank, for which no details are available.

(h) On 31st March, 2018 the payment side of the cash book was undercast by ` 1,200

Solution

Bank reconciliation statement of Senthamarai traders as on 31st March, 2018

Particulars		Amount `	Amount `
Balance as per cash book			40,200
Add:			
	Net payment entered twice in the cash book	180	
	Cheques issued to trade payables not yet presented	500	
	Transport subsidy collected by bank	3,000	3,680
			43,880
Less:			
	Cheques deposited but not yet credited by bank	2,240	
	Bill of exchange dishonoured	1,000	
	Cheques deposited but not yet credited by bank	2,000	
	Wrong debit by bank	1,500	
	Undercasting of credit side of cash book	1,200	7,940
Balance as per bank statement			35,940